



Amortization and depletion

Similar concepts to depreciation, amortization and depletion are used by accountants to show how intangible assets and natural resources respectively are used up.

How it works

Amortization is how the cost of purchasing an intangible asset, such as copyright of an artwork, is spread over a period of time, usually its useful lifetime. It is shown as a reduction in the value of the intangible

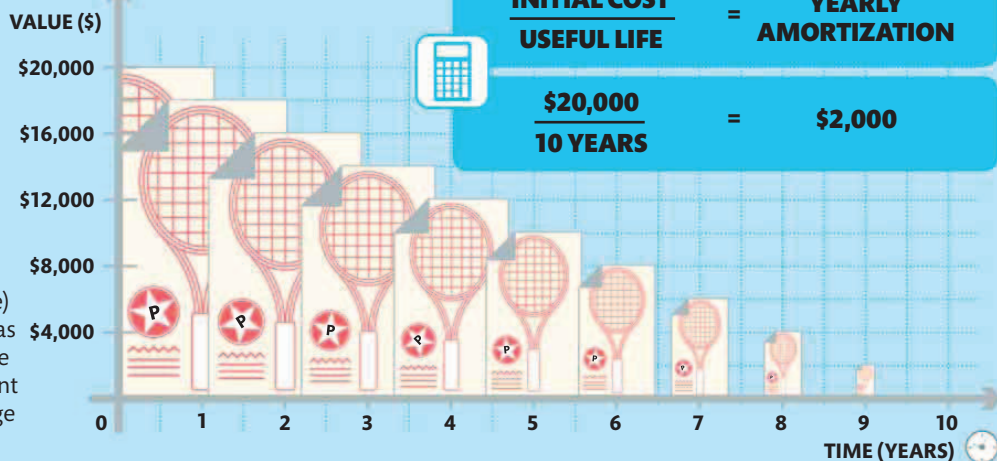
asset on the balance sheet and an expense on the income statement. In lending, amortization can also mean the paying off of debts over time. Depletion shows the exhaustion of natural resources such as coal mines, forests, or natural gas.

Amortization in practice

There are two types of amortization, one for spreading the cost of an intangible asset, the other for loan repayment. Both are calculated in similar ways, but loan repayments are worked out as a percentage.

Intangible assets

In this example, a company buys an intangible asset—a patent for a new, revolutionary type of tennis racket—for \$20,000. The patent will be useful for 10 years, so its cost is recorded as a \$2,000 amortization (expense) each year rather than as a one-time cost. Unlike tangible assets, a patent does not have a salvage value (see p.124).



Loan percentage

If a company has an outstanding loan worth \$150,000, and pays off \$3,000 of this loan each year, then \$3,000 of the loan has been amortized. It can also be said that 2 percent of the loan has been amortized, as it will take 50 years to repay the loan at this rate.



COST OF LOAN	YEARS TO REPAY	%
YEARLY REPAYMENT	100	= %
$\frac{150,000}{3,000}$	$\frac{50}{100}$	$= 2\%$